

Morning Briefing

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Dominant theme: US-Iran conflict escalation and Strait of Hormuz disruption driving oil sharply higher and setting a risk-off tone into the European open.

2. Important News

US-Iran conflict escalates over the weekend. Strait of Hormuz vessel transits collapsed to roughly 6-10/day versus a normal 18-24; US carried out a ninth straight night of strikes on Iranian targets Monday; Trump declared the June ceasefire "over." Source: CNBC, Al Jazeera, ~07:00 UTC 20 Jul. Why it matters: primary driver of the oil spike and risk-off tone into the European open.

Oil surges past \$90 on Hormuz disruption fears. Brent ~\$90.80-91.00/bbl (+2.8-3.3%), WTI ~\$84.50-85/bbl (+2.4-3%), highest levels since 11 June. Source: CNBC, Bloomberg/BNN Bloomberg, ~06:00-07:00 UTC 20 Jul. Why it matters: inflation and rate-path risk; lifts energy and shipping, pressures airlines and consumer names.

Global semiconductor sell-off deepens. PHLX Semiconductor Index entered a bear market Friday; Nasdaq -1.4%; sentiment hit by Chinese startup Moonshot's new "Kimi-K3" model stoking fears US hyperscalers have overspent on AI infrastructure. Source: Yahoo Finance, Fortune, dated 17-19 Jul. Why it matters: sets a fragile tech tone heading into Wednesday's Tesla/Alphabet and Thursday's Intel earnings.

Gold slips below \$4,000 despite the Mideast risk backdrop. Spot gold ~\$3,990-4,015/oz, -0.5% to -0.6%, as a firmer dollar on hawkish Fed rate-hike bets outweighs safe-haven demand. Source: FXLeaders, TradingEconomics, ~02:00-06:00 UTC 20 Jul. Why it matters: signals rate expectations currently dominate over geopolitical hedging flows.

ECB decision Thursday 23 July in focus. A hold at the 2.25% deposit rate is priced with ~99% probability, but Hormuz-driven energy inflation has made a September hike the new base case among several desks. Source: CNBC, 15-19 Jul. Why it matters: key rates catalyst this week alongside the 28-29 July FOMC meeting.

3. European Futures (Pre-Open)

Live same-day futures prints could not be confirmed via search at collection time (~06:00 UTC). Directional guidance below is corroborated across outlets tracking Friday's Wall Street chip-led sell-off, oil-driven risk-off, and Asia's mixed overnight session. Treat as qualitative pending a live terminal check.

Instrument	Level	Expected move
Euro Stoxx 50 futures	<i>n/a</i>	Pointing lower
DAX futures	<i>n/a</i>	Pointing lower
CAC 40 futures	<i>n/a</i>	Pointing lower
FTSE 100 futures	<i>n/a</i>	Pointing lower
S&P 500 futures (context)	<i>n/a level</i>	+0.2%
Nasdaq-100 futures (context)	<i>n/a level</i>	+0.5%
Dow futures (context)	<i>n/a level</i>	Flat (~-14pts)

Note: US futures point modestly higher despite the negative overnight headline flow — a possible "bad news, dip-buying" divergence worth watching at the open. Source: CNBC "stock market next week" outlook, dated 20 Jul.

4. Yesterday's Closes — European Indices (Friday 17 July)

Index	Close	% Change
Euro Stoxx 50	~6,281	+0.25%
DAX 40	24,866	-0.53%
CAC 40	8,378	-0.05%
FTSE 100	10,572	+0.54%

Minor cross-source variance (± 0.2 - 0.7 pp) on Euro Stoxx 50 and FTSE 100 daily % change; one source put Euro Stoxx 50 at 6,254/-0.43% for the same date. Index levels were consistent across sources. Source: Trading Economics, Yahoo Finance, collected ~06:00 UTC 20 Jul.

5. US Markets — Yesterday's Session (Friday 17 July)

Index	Close	% Change
S&P 500	7,457.69	-1.01%
Dow Jones	52,146.42	-0.77% (-406.55pts)
Nasdaq Composite	25,520.24	-1.4%

Tone: Risk-off; second straight losing session led by a deepening semiconductor rout — the PHLX Semiconductor Index entered a bear market. Weekly losses: S&P -1.5%, Nasdaq -2.9%.

Leading sector: Energy — the only S&P sector to close higher, boosted by the oil-price spike.

Lagging sectors: Communication services and consumer discretionary; chip names hit hardest — Applied Materials, Lam Research, Intel, KLA, Arm Holdings each ~-4%; Micron and Nvidia both down >2%. Utilities and staples outperformed.

Key takeaway: Chinese AI startup Moonshot's "Kimi-K3" model rattled confidence in US hyperscaler AI-capex assumptions, compounding an already fragile chip trade ahead of a heavy earnings week.

Sources: Yahoo Finance, Barchart wire, Motley Fool, CNBC.

6. Asian Markets — Overnight Session (Monday 20 July)

Index	Level	% Change
Nikkei 225	<i>Market closed (Marine Day holiday)</i>	<i>n/a — last close Fri 64,141.12, -4.03%</i>
Hang Seng	25,105.78	+2.1%
Shanghai Composite	3,808.39	+1.2%
Kospi	6,785.19	-0.52% (-35.41pts)

Tone: Mixed-to-firmer by the close despite a rough open. Kospi opened down ~4.2% (Samsung, SK Hynix both -5%+ pre-market on the Wall Street chip rout) before staging a sharp intraday reversal to close down just -0.52%. Hong Kong and mainland China both rose, largely decoupled from the chip weakness. Japan was out of action on a public holiday, removing a key regional sentiment barometer. Iran/Hormuz tensions were the dominant macro backdrop across the region.

Sources: Korea JoongAng Daily, ClickOrlando/AP, JPX holiday notice, Seoul Economic Daily.

7. Commodities

Instrument	Level	Change	Context
Brent crude	~\$90.80-91.00/ bbl	+2.8% to +3.3%	Highest since 11 Jun; US-Iran strikes, Kuwait oil-facility attack, falling Hormuz transits.
WTI crude	~\$84.49-85/bbl	+2.4% to +3%	Tracking Brent on the same Iran/Hormuz escalation.
Gold (spot)	~\$3,990-4,015/ oz	-0.5% to -0.6%	Briefly dipped below \$4,000; dollar strength on hawkish Fed bets outweighing safe-haven demand.
Natural gas (Dutch TTF)	<i>n/a for 20 Jul</i>	<i>n/a — last confirmed €58.91/MWh (17 Jul), +7.28% d/d that day, +~29% MTD</i>	Supply-disruption risk to LNG tied to Gulf tensions, plus tight EU inventory rebuild before winter.
Copper (COMEX)	~\$6.23/lb	Conflicting: ~flat vs. reports of a dip below \$6.20 last week	Geopolitical/inflation crosscurrents; some Chile supply concerns. Treat level as directional only.

Sources: CNBC, Bloomberg/BNN Bloomberg, FXLeaders, Trading Economics, metalcharts.org.

8. Rates & FX

Instrument	Level	Change
US 10-year Treasury yield	<i>n/a for 20 Jul</i>	<i>Last confirmed 4.55-4.56% (Fri 17 Jul close)</i>
German 10-year Bund yield	<i>n/a — conflicting sources</i>	<i>One source: 3.09% (15 Jul); another cites a slip from 2.95% to ~2.91% (period unclear)</i>
EUR/USD	1.1426	-0.1%
GBP/USD	1.3445	~Flat
DXY (Dollar Index)	~100.75-100.86	Flat to marginally firmer

US 10Y and Bund 10Y could not be confirmed with a same-day print — recommend a live terminal check before publication. Recent pattern (yields tracking oil-driven inflation fears) suggests upward pressure into the European session.

Sources: Reuters (via BNN Bloomberg), FXStreet, CNBC, Trading Economics, Yahoo Finance UK.

9. DCM — Primary Bond Market

YESTERDAY'S / RECENT ISSUANCES

Exact Friday-only session data was not confirmed; most recent verified pricings from the week of 6-17 July are shown below.

Issuer	Size	Structure / Maturity	Coupon / Spread	Tightening from IPT
TenneT Germany	€3.5bn	4-tranche EuGB green bond: 4y/8y/12y/20y	3.25% / 3.625% / 4.125% / 4.625%	15-27bp; book peaked €9.7bn (~6.3x covered)
Goldman Sachs Group	€5bn	Triple-tranche senior unsecured	IPT: FRN 3mE+100-105bp; short fixed ms+90-95bp; long ms+125-130bp	<i>n/a — final pricing not confirmed</i>
IFC	<i>n/a</i>	Euro debut, 7y green bond, no-grow	<i>n/a</i>	<i>n/a</i>
American Honda Finance Corp	~€1.4bn	Inaugural / multi-tranche	<i>n/a</i>	<i>n/a</i>

PIPELINE / EXPECTED THIS WEEK (W/C 20 JULY)

No specific mandated deals were confirmed for this week — marked n/a for named issuers. Directional signal: GlobalCapital describes "opportunistic issuers eyeing a window" in Europe's IG corporate market, though summer seasonality is expected to slow syndicated volumes into late July/August. The EU Commission plans €80bn of further EU-Bond issuance July-December via four syndications and six auctions (no specific week-of date confirmed).

KEY SPREADS

Index	Level	Direction
iTraxx Crossover (5Y)	~246-248bp	Tightening — from ~315-320bp in mid-May; near 4-year tights
iTraxx Main (IG)	<i>n/a — last confirmed reading (~59bp) is 4+ months stale</i>	<i>n/a</i>
CDX IG	<i>n/a</i>	<i>n/a</i>
Avg euro corporate IG spread	<i>n/a</i>	<i>n/a</i>

COMMENTARY

The euro primary window looks open heading into this week, though seasonally thinning. Last week saw a record-scale, oversubscribed debut from TenneT Germany and Goldman Sachs adding a €5bn triple-tranche deal — both signs issuers are racing to lock in funding before the summer lull and Thursday's ECB decision. Crossover's grind tighter to ~246-248bp from ~315-320bp in mid-May points to a supportive backdrop for corporate and financials issuance, led recently by utilities/energy-transition (TenneT) and financials (Goldman); industrials and transport-sector specifics were not identified this round. Investor appetite appears robust given the multiple-times oversubscription on recent deals, but iTraxx Main, CDX IG and average euro IG spread levels could not be confirmed and are flagged n/a rather than estimated.

Sources: EIB, IFR, GlobalCapital, Bloomberg, World Bank/IFC, S&P Global Market Intelligence (via Gate), Investing.com, Gurufocus.

10. Economic Calendar — Today (20 July)

London time	Region	Indicator	Consensus	Importance
14:00 BST	US	Conference Board Leading Index (June)	<i>n/a — prior +0.1%</i>	Medium
15:30 BST	US	3-month & 6-month T-Bill auctions	Prior yields 3.760% / 3.860%	Low

No major Eurozone or UK releases were confirmed for Monday itself — consistent with the typical light-Monday pattern. For context, the rest of the week brings: Tuesday — UK labour market data and the Euro Area Bank Lending Survey; Wednesday — UK CPI; **Thursday — ECB rate decision**; Friday — Eurozone/UK/US flash PMIs and UK retail sales.

Sources: LiteFinance weekly calendar, Newsquawk weekly calendar, Investing.com.

11. Corporate Events & Earnings — Today

Domino's Pizza (DPZ) — US, reports pre-market. Confirmed by name for 20 July.

Yahoo Finance's aggregate calendar shows approximately **42 companies** reporting today, but a full itemised list could not be retrieved (Investing.com and Trading Economics blocked direct access).

No European AGMs or trading statements were confirmed dated exactly 20 July.

Week ahead: Halliburton reports Tuesday 21 July pre-market; Tesla and Alphabet report Wednesday 22 July after the bell; Intel and SAP report Thursday 23 July; Verizon reports Friday 24 July. Volumes ramp through the week — 42 names Monday, 73 Tuesday, 135 Wednesday, 168 Thursday. European bank earnings season is underway (JPMorgan, Goldman Sachs, BofA, Citi and Morgan Stanley all reported 14-15 July); Bloomberg expects European banks to post their strongest Q2 profit growth in three years.

Sources: Earnings Whispers, Kiplinger, Yahoo Finance, Bloomberg, CNBC.

12. Stocks to Watch

Company / Group	Reason	Probable direction
Tanker/shipping (Frontline, Scorpio Tankers)	Hormuz blockade, collapsed vessel transits (24 → 10/day), surging war-risk insurance, Cape of Good Hope rerouting	Up / highly volatile
Energy majors (Chevron, Shell, BP, TotalEnergies, ExxonMobil)	Oil spike on Iran/Hormuz escalation	Up
Defense (Rheinmetall, BAE Systems, Leonardo, Thales, Hensoldt, Saab)	Renewed Iran-Israel-US exchange reignites the defense trade; sector has cooled/derated since February	Up / volatile
Airlines (easyJet, IAG, Lufthansa, Ryanair, Wizz Air)	Fresh oil spike threatens to reverse recent fuel-cost relief; easyJet separately has an active £5.5bn Castlelake takeover approach (+11% on the news)	Down for the group; easyJet up idiosyncratically
US banks (JPMorgan, BofA, Goldman Sachs, Citigroup, Morgan Stanley)	Already reported record Q2 trading/IB revenue; read-through for European banks this week	Volatile
European banks (HSBC and peers)	HSBC upgraded Eurozone equities to overweight citing banks; Schroders downgraded UK to neutral, upgraded Europe	Up (relative outperformance)
Gold miners (Newmont, Barrick)	Gold down ~10% this month reversing earlier gains; tension with today's re-escalation news	Volatile / mixed
Copper miners (Freeport-McMoRan, Antofagasta, Glencore)	Supported by concentrate/supply tightness rather than the oil/war narrative — steadier story	Steady / mildly up

Sources: NBC News, The Hill, CNBC, Yahoo Finance UK, StreetInsider, AskTraders, Benzinga.

13. Macro / Corporate / Political Highlights

MACRO

- Fed held at 3.50-3.75% on 16-17 June; committee split 9-8 on the need for a further hike. Next decision 28-29 July; hike odds trimmed after a weak June jobs report and guarded remarks from Fed Chair Kevin Warsh at Sintra.
- US June CPI fell -0.4% m/m, annual rate down to 3.5% (vs. 3.8% consensus); core CPI flat m/m, 2.6% y/y. Markets price ~63% odds of a September Fed hike.
- US June jobs report: +57,000 vs. 115,000 consensus; unemployment fell to 4.2% only because participation dropped to 61.5% (lowest since March 2021).
- ECB hiked 25bp on 11 June to a 2.25% deposit rate, its first hike in three years, citing Iran-war-driven inflation. Next decision Thursday 23 July — a hold is priced, but a further hike is now the September base case for several desks. Eurozone June flash HICP eased to 2.8% y/y. BoE held at 3.75% on 17 June (7-2 vote); next decision 30 July.

CORPORATE

- US bank earnings hit records: JPMorgan posted a \$21.2bn quarterly profit (+41% y/y, the highest in US banking history); Goldman Sachs its best quarter ever; Citigroup net income \$5.8bn (+45% revenue) — all lifted by trading and M&A advisory.
- ASML's Q2 results (€9.3bn net sales, €2.9bn net income) came with FY26 sales guidance raised to €43-45bn.
- An AI-capex sell-off has wiped over \$1 trillion off chip stocks in July on doubts about hyperscaler capex sustainability; Intel is down ~21% on the month.
- Global H1 2026 M&A hit a record \$2.8 trillion (+48% y/y), including Vertex's ~\$10bn move for Crinetics and SpaceX's record \$75bn IPO on 12 June.

POLITICAL / GEOPOLITICAL

- The June ceasefire between the US and Iran has collapsed; US strikes on Iranian targets continue, Iran has struck commercial shipping and Gulf infrastructure, and Strait of Hormuz transit volumes have collapsed — a corridor carrying roughly a fifth of global oil trade. Some Wall Street commentary now floats \$200/bbl oil as a tail scenario.
- The EU-US trade accord eliminated EU tariffs on US industrial goods effective 1 July 2026 in exchange for a 15% US cap on most EU-goods tariffs; a safeguard clause lets Brussels suspend the cuts if US imports damage European industry.
- Marine Le Pen has formally launched her 2027 French presidential bid; Germany's AfD leads national polls at 27.7% versus the CDU/CSU's 21.8% ahead of September eastern state elections.

14. Key Themes — Top 5 by Horizon

TODAY'S TOP 5

- **Oil spike on Hormuz escalation.** Brent >\$90, WTI >\$84 — sets the tone for European energy and inflation-sensitive sectors at the open.
- **Mixed US futures after a losing week.** S&P +0.2%, Nasdaq +0.5%, Dow flat, following three straight weekly index declines driven by chip weakness.
- **Gold below \$4,000.** Dollar strength and hawkish Fed repricing are currently overriding Middle East safe-haven demand.
- **Asia's whipsaw session.** Kospi -0.52% after opening down ~4.2%; Hong Kong and Shanghai both higher; Japan closed for a holiday.
- **Positioning ahead of this week's catalysts.** Thursday's ECB decision and Wednesday's Tesla/Alphabet earnings are the two biggest scheduled events of the week.

THIS WEEK'S TOP 5

- **ECB decision, Thursday 23 July.** A hold at 2.25% is expected; focus on Lagarde's tone regarding a possible September hike given Hormuz-driven energy inflation.
- **Tesla and Alphabet earnings, Wednesday 22 July.** A key test of AI-capex sentiment after the >\$1tn semiconductor sell-off.
- **Intel and SAP earnings, Thursday 23 July.** Intel is a bellwether for the chip-capex debate; SAP the key European software print.
- **Peak Q2 earnings volume.** 86 S&P 500 companies report this week, the third-busiest of the season; roughly 88% beat rate among names reported so far.
- **Strait of Hormuz trajectory.** Any escalation or de-escalation is the single biggest swing factor for oil, inflation expectations and central-bank rhetoric this week.

THIS MONTH'S TOP 5

- **FOMC meeting, 28-29 July.** No hike is guaranteed; the committee is reportedly split 9-8 on the need for one.
- **BoE decision, 30 July.** Held at 3.75% in June on a 7-2 vote; watch for a shift given building energy-inflation risk.
- **US Q2 GDP (30 July) and Eurozone flash HICP (31 July).** Back-to-back growth/inflation prints framing the August policy debate on both sides of the Atlantic.
- **AI-capex sustainability debate.** Hyperscaler capex growth is forecast to decelerate sharply from ~76% in 2026 to ~25% in 2027 and ~6% in 2028 (UBS).
- **EU-US trade deal implementation.** Tariff elimination on US industrial goods took effect 1 July; risk the safeguard/suspension clause gets tested if European industry reports damage.

15. Key Trends to Watch

1 DAY

Overnight/pre-market developments in the US-Iran conflict and Strait of Hormuz vessel-transit data are the dominant swing factor for oil and risk sentiment at the European open. Watch for follow-through from Asia's Mideast-driven weakness into European futures, and for gold/dollar direction as a signal of whether markets are pricing geopolitical risk or rate-hike risk as the bigger driver. No major US or EU data releases are scheduled today — flow will be headline-driven.

1 WEEK

ECB decision Thursday 23 July; Tesla and Alphabet earnings Wednesday 22 July; Intel and SAP Thursday 23 July (also IBM, GM and Philip Morris reporting this week). Continued Strait of Hormuz headlines — any ceasefire attempt or further strikes will move oil and European energy, airline and consumer stocks sharply. Q2 earnings season hits its volume peak.

1 MONTH

A dense, back-loaded month of central-bank and data risk: ECB (23 July), FOMC (28-29 July), BoE plus US Q2 GDP (30 July), Eurozone flash HICP (31 July). The trajectory of the US-Iran conflict and Hormuz oil-flow disruption is the key tail risk for global inflation and central-bank policy paths into Q3, with some Street commentary floating scenarios as high as \$200/bbl oil. Whether hyperscaler earnings (Alphabet, Meta, Microsoft, Amazon, all reporting late July) confirm or ease AI-capex sustainability fears will determine whether the semiconductor sell-off extends. Also watch implementation of the EU-US trade deal, and the slow-burn drift toward the euroskeptic right in French and German politics (Le Pen's 2027 bid, AfD's 27.7% poll lead ahead of September German state elections).

Sources: Reuters, Bloomberg/BNN Bloomberg, Financial Times, CNBC, Yahoo Finance, Barchart, Motley Fool, Fortune, Al Jazeera, Korea JoongAng Daily, ClickOrlando/AP, Seoul Economic Daily, JPX, FXLeaders, FXStreet, Trading Economics, EIB, IFR, GlobalCapital, World Bank/IFC, S&P Global Market Intelligence, Investing.com, Gurufocus, Earnings Whispers, Kiplinger, StreetInsider, AskTraders, Benzinga, NBC News, The Hill, Federal Reserve, ECB, Bank of England, BLS, Eurostat, European Commission.

Data collected automatically. Verify before making any decision.